On the surface, it looks like ETFs might be a suitable type of instrument for trend following. We have ETFs tracking equity indexes, commodity markets, interest rate markets, and currency markets. This potential for diversification means that it's at least worth exploring. I'll save you the suspense and tell you up front that, sadly, ETFs are no substitute for futures and not a very practical market for trend following.

First, look at the available investment universe. On the equity side, we're well covered. We have low-cost instruments with low tracking error for pretty much any index we'd want to trade. Safe to say, we're covered in this sector. Next, rates. We do have some interesting ETFs in the rates sector, even if they are not as clean and pure as the equity futures. But I'll give you that one, fine. For currencies, we have a few. Not all that many, but I'll be generous and say that we're OK here too.

Then things get a little tricky. There are a few ETFs which track individual commodities, such as oil and gold, but they are few and far between. In the agricultural sector it's even trickier, and among the reasonably liquid ETFs you'll mostly find ones that bundle up a whole bunch of commodities in one fund. That, of course, completely defeats the purpose of diversification, at least, the kind of diversification which we need.

The thing that really kills trend following on ETFs, however, is not the investment universe availability, even that is a severely limiting factor. The true problem is that these are cash instruments, paid up front. Leverage is expensive and limited, so what do you do when you get a trade signal telling you to take on a 250% position in a rates market, when you already have a few hundred percent exposure on? You just can't build the kind of exposure which would be needed, and you would be bound by cash utilization.

This doesn't mean that the ETF market is horrible or that you should never invest in or trade ETFs. There are some truly horrible ETFs, of course, with the worst offenders being those that are essentially structured derivatives, repackages, and sold to people who don't know what structured derivatives are. But there are also great ETFs, and the most plain and best-known ones, such as the SPY are among them. The idea of exchange traded funds is brilliant and it serves its purpose, even if some issuers use it to sell toxic derivatives. For asset allocation models, for instance, ETFs are your go-to instruments. But for regular trend following, they are not a great choice.